

Sales and marketing expenses increased \$105 million, or 36%, in 2019 compared to 2018. The overall increase was primarily due to increased employee compensation-related costs, including amortization of capitalized commissions, of \$72 million, driven by headcount growth, and an increase in marketing program costs of \$8 million. The increase in marketing program costs was driven by increased volume of advertising activities. Further contributing to the overall increase was an increase in allocated shared costs of \$14 million.

Sales and marketing expenses increased \$80 million, or 38%, in 2018 compared to 2017. The overall increase was primarily due to increased employee compensation-related costs, including amortization of capitalized commissions, of \$55 million, driven by headcount growth, and an increase in marketing program costs of \$10 million. The increase in marketing program costs was driven by increased volume of advertising activities. Further contributing to the overall increase was an increase in allocated shared costs of \$11 million.

General and Administrative Expenses

	Year Ended December 31,				
	2019	2018	2017	2018 to 2019 % change	2017 to 2018 % change
	(In thousands, except percentages)				
General and Administrative	\$ 141,076	\$ 103,491	\$ 81,680	36%	27%

General and administrative expenses increased \$38 million, or 36%, in 2019 compared to 2018. The overall increase was primarily due to increased employee compensation-related costs of \$15 million, driven by headcount growth, and a one-time termination-related charge of \$3 million during 2019. The overall increase was also driven by costs associated with our acquisition of Smooch in 2019 including transaction costs of \$3 million and a one-time share-based compensation charge of \$3 million related to accelerated stock options of Smooch. Further contributing to the overall increase was an increase in allocated shared costs of \$3 million.

General and administrative expenses increased \$22 million, or 27%, in 2018 compared to 2017. The overall increase was primarily due to increased employee compensation-related costs of \$15 million, driven by headcount growth, and increased allocated shared costs of \$3 million.

Other Income (Expense), Net

	Year Ended December 31,			2018 to 2019 % change	2017 to 2018 % change
	2019	2018	2017		
(In thousands, except percentages)					
Interest income	\$ 20,561	\$ 15,086	\$ 3,542	36 %	*
Interest expense	(26,708)	(19,882)	—	34 %	*
Other income (expense), net	848	(467)	(1,055)	(282)%	(56)%

*Not meaningful

Interest income increased \$5 million, or 36%, in 2019 compared to 2018. The overall increase was primarily due to the increase in the amount of marketable securities from the proceeds received from our convertible senior notes issued in March 2018. Interest expense increased \$7 million, or 34%, in 2019 compared to 2018 due to the issuance of our convertible senior notes.

Interest income increased \$12 million in 2018 compared to 2017. The overall increase was primarily due to the increase in the amount of marketable securities from the proceeds received from our convertible senior notes. Interest expense increased \$20 million in 2018 compared to 2017 due to the issuance of our convertible senior notes.

Provision for (Benefit from) Income Taxes